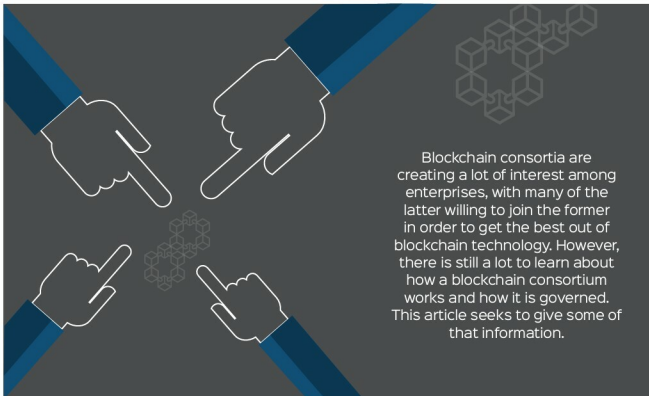


The Blockchain Consortium is Coming of Age



Blockchain consortia are creating a lot of interest among enterprises, with many of the latter willing to join the former in order to get the best out of blockchain technology. However, there is still a lot to learn about how a blockchain consortium works and how it is governed. This article seeks to give some of that information.

Governance solutions for public blockchain platforms like Hyperledger and Ethereum were the prime focus of enterprises till recently. However, consortium blockchain governance is now slated to become as or even more important to enterprises than public blockchain governance, and soon turn into a norm.

What is a blockchain consortium?

First, it is very important to understand that there is no universal blockchain governance. The type of governance depends on the type of blockchain solution that companies can use. There are three main types of blockchain

systems: open or public, private or permissioned, and consortium or federated blockchains. Most of us are aware of public and private blockchains, but do not know much about a consortium blockchain.

A blockchain consortium is defined as a type of network where multiple organisations maintain the system. Here, a group of companies collaborates on advancing the state of blockchain technology adoption in the industry, establishing industry standards, drafting use cases, developing key infrastructure and also operating commercial blockchain platforms.

Consortium blockchains are termed as 'hybrid solutions'; these

fall in-between public and private solutions, i.e., between fully open decentralised systems, and completely centrally-controlled systems, thus getting the best of both worlds.

Multiple organisations take part in the consortium and every organisation gets similar treatment. So, there is no single entity ruling over the network.

A survey by Deloitte in 2019 with regard to the impact of blockchain consortia on 1386 global enterprises, revealed the following statistics:

- Cost savings: 57 per cent
- Accelerated learning: 55 per cent
- Risk sharing: 47 per cent
- Mass adoption: 45 per cent
- Lifetime maintenance: 42 per cent
- Influencing standards: 42 per cent